PARTNERS of the AMERICAS
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Expatriate Benefits Policy

Effective April 1, 2023

Updated March 1, 2024

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Table of Contents

1. Purpose 3
2. Definitions 3
3. Approval Process 3
4. Work Visas 3
5. Ex-pat Benefit Package 3
5.1 Taxes 4
5.2 Health & Dental Insurance 4
5.3 Home of Record Leave 4
5.4 Home of Record Trip (Airfare & Transportation Cost) 5
5.5 Rest & Recuperation (R&R) Leave 5
5.6 R&R Trip (Airfare Cost) 6
5.7 Relocation and Demobilization Costs 6
5.8 Post Hardship Differential 7
5.9 Cost of Living Allowance (COLA) 7
5.10 Living Quarters/Accommodation Allowance 7
5.11 Temporary Quarters Subsistence Allowance 8
5.12 Primary and Secondary Education Benefits for Dependents 8
5.13 Holidays 8

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1. Purpose

The objective of this policy is to provide guidelines for the benefit and relocation package for Grade E and Grade F expatriate employees hired by Partners of the Americas (Partners) Home Office (HO). While differing laws in various countries may influence some aspects of the policy implementation, the basic guidelines are to be maintained in order to ensure a unified company policy on expatriate benefits.

2. Definitions

- Expatriate (Hereinafter "ex-pat") - An employee who is relocated from his/her home country to work at one of the branches of Partners abroad for a period exceeding one year.
- Host country - The receiving or destination country of the ex-pat.
- Home country - Originating country of the ex-pat.
- Spouse – Spouse or domestic partner of the ex-pat.
- Dependent – Any children, 18 years old or below, of the ex-pat.

3. Approval Process

Ex-pat offer letters and benefits must be approved by the President & CEO, and ex-pat employees will be on Partners HO's payroll.

4. Work Visas

Engagement in an Ex-pat employment assignment is contingent on successful attainment of work authorization in the host country. The process for being granted a work visa will differ based on the host country and Partners will follow all local requirements. Partners will be responsible for supporting the application for a work visa for the employee. Partners will support the application of a residency visa only for the ex-pat's immediate family (for this matter, the term "immediate family" relates to the spouse and dependents of the ex-pat). The ex-pat has the responsibility to monitor the accuracy and expiration dates of visa documentation for themselves and their family in order to maintain a lawful working status in the host country.

5. Ex-pat Benefit Package

Ex-pat employees will follow Partners HO pay scale and be allotted Partners HO's standard employee benefit package as outlined in the employee manual, as applicable. In addition, based on negotiations with HR and the President & CEO, additional ex-pat benefits as outlined below may be added. All benefits offered will be outlined in the Terms of Assignment and attached to the offer letter.

All benefits provided under this policy must be reasonable and necessary for the performance of Partners' work. The cost of the benefits must be comparable to what would be necessary for the employee to perform the work in the United States in the employee's home of record. The President & CEO is authorized to make adjustments to any ex-pat benefits, including removing or

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adding additional benefits. All allowances are subject to donor approval when required by the award or contract.

5.1 Taxes

The ex-pat is responsible for paying any tax liability incurred from benefits and compensation received in both their host and home countries (excluding countries in which the employer is required to deduct the taxes from all paid benefits). The ex-pat will be responsible for any double taxation between the host and home country that may occur.

5.2 Health & Dental Insurance

Partners will cover up to 80% of the premium for the ex-pat employee for both medical and dental insurance, which can be either a local host country or international plan. This is calculated as compared to a baseline plan. Partners will cover spouse and/or dependents at 80% of the premium cost of the baseline plan, and the remainder will be the responsibility of the employee.

5.3 Home of Record Leave

Ex-pat employees may receive home of record leave, which is in addition to annual leave once meeting the following conditions.

Has completed at least:

a) 12 months of continuous service abroad at a post experiencing extraordinary circumstances, as determined by the U.S. Government the Foreign Service; or
b) 18 months of continuous service abroad; and

After home leave, is expected to return:

a) Immediately to service abroad with Partners; or
b) To service abroad with the Partners upon completion of an assignment in the United States; or
c) To service abroad after transferring to another international organization.

If eligible, the employee will receive 10 days of paid home of record leave. Home leave should be taken in one continuous period. Partners will comply with guidelines established in the Foreign Affairs Manual (FAM) for home of record leave.

Home leave may be used only in the United States (or in a U.S. Commonwealth or possession if that is the ex-pat's home leave residence). However, incidental travel outside the United States, not involving an overnight stay, is acceptable. If the ex-pat would like to travel to a location in the United States other than the home leave address, it is permitted. However, a cost-construct must be prepared based on using travel to the home leave address of record for the allowable travel expenses. The amounts established by the cost-construct will determine the maximum amount

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Partners will cover on behalf of the ex-pat and dependents. Cost-construct documentation must be reviewed by compliance@partners.net and approved by HR. Any leave used en route will be charged to annual leave, sick leave, compensatory time, or other leave, as appropriate.

Use of the home of record leave must be coordinated with coworkers to ensure adequate coverage in the office. All home of record leave must be requested in writing and approved by the employee's supervisor and Partners HO. Unused home of record leave may not be the basis of any lump-sum payment upon termination. Any unused home or record leave is considered forfeited upon termination.

In the event that the ex-pat fails to return to the host country after their approved leave, the ex-pat must repay the transportation costs connected with the home leave and must have the home leave charge changed to annual leave.

5.4 Home of Record Trip (Airfare & Transportation Cost)

Partners will cover one economy round-trip airfare from the host country to the home country for the ex-pat to visit home/family once a home of record trip has been approved in accordance with section 5.3. Partners will also cover any other transportation costs as necessary for the ex-pat to return to the home country including but not limited to taxis, buses, trains, etc. The cost for the ex-pat's spouse and/or dependents who continue to reside in the host country will also be covered by Partners. Dependents are covered until age 18.

In the event that the ex-pat fails to return to the host country after their approved leave, the ex-pat must repay the transportation costs connected with the home leave.

5.5 Rest & Recuperation (R&R) Leave

Ex-pat employees may receive rest and recuperation (R&R) leave, which is in addition to annual leave. The purpose of R&R is to provide for the travel of ex-pat and their families from their assigned post to the designated relief areas in the U.S. or U.S. territory, or to other locations abroad that have different social, climatic, or environmental conditions than their assigned post. Ex-pat employees who are eligible for R&R leave will receive seven (7) days of leave per authorized trip.

To be eligible for R&R ex-pats must meet one of the following conditions:

a) If employee is assigned to a designated R&R post abroad and they serve at such a post for a period of at least 2 years unbroken by home leave; or
b) They are assigned to a post that has been approved for special R&R under 3 FAM 3727.1.

R&R leave entitlements, except where a finding has been made pursuant to 3 FAM 3722, paragraph b or c, or 3 FAM 3727, is limited to:

1) One round trip during any continuous 2-year period of service unbroken by home leave; and

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2) Two round trips during any continuous 3-year period of service unbroken by home leave.

Each post eligible for R&R travel has a designated relief point. A list of eligible posts and their designated relief points is located in the Foreign Affairs Manual (FAM) 3 FAH-1 Exhibit H-3722. Alternatively, employees may select to use R&R in the U.S. or any U.S. territory.

Partners will comply with guidelines established in the Foreign Affairs Manual (FAM) for R&R leave.

5.6 R&R Trip (Airfare Cost)

For ex-pat employees eligible for R&R, Partners will cover one economy round-trip airfare from the host country to the designated relief points is located in the Foreign Affairs Manual (FAM) 3 FAH-1 Exhibit H-3722 or other U.S. state or territory. The cost for the ex-pat's spouse and/or dependents who continue to reside in the host country will also be covered by Partners. Dependents are covered until age 18.

Partners will provide round-trip transportation to a post-designated R&R relief point, to the U.S. or U.S. territory destination. If employees or eligible family members choose an alternative R&R destination abroad (not designated R&R location, and outside the U.S.), the employee will have to prepare a cost-construct from the designated relief point to the preferred destination. Partners will only cover the cost to the designed relief point. The amounts established by the cost-construct will determine the maximum amount Partners will cover on behalf of the ex-pat and dependents. Cost-construct documentation must be reviewed by compliance@partners.net and approved by HR.

In the event that the ex-pat fails to return to the host country after their approved leave, the ex-pat must repay the transportation costs connected with the R&R leave.

5.7 Relocation and Demobilization Costs

The company will provide the ex-pat with a relocation allowance to assist with miscellaneous transition and moving expenses. The relocation costs are intended to cover but not limited to the following (as applicable): flights, movement of household goods, airfreight, shipment for land/sea container, and customs and taxes. The amount of the allowance will be a maximum of $20,000 USD for transition to the host country. The relocation allowance will be a reimbursement based on actual costs for transition to the host country, however, Partners will not cover expenses beyond $20,000 USD, unless authorized by the President & CEO for extenuating circumstances. If the ex-pat employee resigns for reasons within the employee's control within 24 months after hire, the ex-pat will be responsible for reimbursing Partners the amount provided to the employee for relocation costs, including any costs covered for spouse and/or dependents.

Upon expiration or termination of the ex-pat contract, at the discretion of the President and CEO, the ex-pat may be eligible for a demobilization allowance. The amount of the allowance will be a

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maximum of $20,000 USD for transition back to the home country. The demobilization costs are intended to cover but not limited to the following (as applicable): flights, movement of household goods, airfreight, shipment for land/sea container, and customs and taxes. The demobilization allowance will be a reimbursement based on actual costs for transition back to the home country, however, Partners will not cover expenses beyond $20,000 USD. If the ex-pat resigns before completing two years of service, he/she will not be eligible for a demobilization allowance.

5.8 Post Hardship Differential

In accordance with the U.S. Department of State Office of Allowances, Partners will pay post hardship differential (if applicable) based on the host country. Post hardship differential is assigned to posts where it has been determined by the U.S. government that the living conditions are extraordinarily difficult or notably unhealthy or there may be excessive physical hardship. Rates will be updated in accordance with changes from the Office of Allowance. Percentages are paid on top of the total salary. Post hardship differential starts on the day of arrival in the host country for assignment and is discontinued on the last scheduled workday in the host country.

5.9 Cost of Living Allowance (COLA)

In accordance with the U.S. Department of State Office of Allowances, Partners will pay a cost of living allowances (COLA) (if applicable) based on the host country. A COLA allowance is an increase in the ex-pat's pay in response to fluctuations in the economy. Rates will be updated in accordance with changes from the Office of Allowance. Percentages are paid on top of the total salary. COLA starts on the day of arrival in the host country for assignment and is discontinued on the last scheduled workday in the host country.

5.10 Living Quarters/Accommodation Allowance

Partners will provide the ex-pat an allowance for living quarters/accommodation. The monthly allowance will vary based on local country prices and number of family members (spouse/dependents) residing in the host country with the ex-pat. Partners will provide a maximum of 75% of the living quarters allowance rate in accordance with the U.S. Department of State Office of Allowances, living quarters allowance based on the host country and family size.

The allowance is intended to cover the make ready and a fully furnished house or a house that can be easily furnished in a good, safe area in the host city of the host country. The allowance is also intended to cover basic utilities, Wi-fi, security (alarms and 24/7 security response or 24/7 on-site security guards). Depending on the host country infrastructure, the allowance may also cover generators, inverters, and water purification. The living quarters/accommodation allowance will be paid based on actual costs and reimbursed to the ex-pat up to a maximum of 75% of the living quarters allowance rate with the U.S. Department of State Office of Allowances.

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5.11 Temporary Quarters Subsistence Allowance

In certain circumstances Partners may authorize a temporary living quarters allowance in accordance with State Department guideline for Temporary Quarters Subsistence Allowance.

5.12 Primary and Secondary Education Benefits for Dependents

If an ex-pat will be bringing dependents, Partners will pay for children's education from kindergarten through secondary school or high school grade 12 equivalent, or from age 2 to age 18. In countries where the local school system is inappropriate or in an unfamiliar language, International/ American/ British/ Canadian School may be an appropriate alternative. Partners will cover actual costs for education for all the ex-pats dependents on a reimbursement basis and will vary based on host country up to the maximum amount allowable education allowance with the State Department. At the start of each school year, Partners will review the education allowance limits for the following school year.

Educational expenses that Partners will cover are intended to include but not limited to the following:

- School registration fee
- Tuition fee
- School bus transportation fee

The education expenses not covered by Partners include but are not limited to the following:

- Summer school
- Summer camp
- School field trips
- Books and materials required for coursework

These costs, if necessary, will be the responsibility of the ex-pat.

5.13 Holidays

In accordance with the employee manual, ex-pats will receive the total holidays listed in the manual annually. Each Ex-pat will be able to select the holidays they which to recognize, whether U.S., the host country, or a combination of the both, as long as it does not exceed the total days allotted in the employee manual.

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